

COMMODITY TRADING STRATEGY & REGULATORY PROSPECT REPORT

Bangladesh Market — Long-Term Strategy and Assessment of Prospects for Success

Prepared for
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1. Executive Summary

Bangladesh is at an early but accelerating stage in the development of formal commodity trading infrastructure. As of mid-2026, the country has no operating commodity exchange, but the Bangladesh Securities and Exchange Commission (BSEC) and the Chittagong Stock Exchange (CSE) have advanced regulatory and technical groundwork for a commodity derivatives platform, with officials publicly targeting a launch within 2026. In parallel, Bangladesh's commodity economy already functions at very large scale through physical trade: the country imports the substantial majority of its edible oil, sugar, wheat, and industrial raw materials, and maintains a tightly regulated gold import and bullion-dealership regime introduced under the 2018 Gold Policy.

This report assesses the prospects for a long-term commodity trading strategy for May International Trade Services Ltd., combining (a) near-term participation in physical import-based commodity trade, where regulatory pathways already exist, with (b) medium-to-long-term positioning to participate in the emerging exchange-traded derivatives market once it becomes operational. The analysis concludes that the physical trade opportunity is immediate and bankable but margin-sensitive to currency and policy risk, while the derivatives opportunity carries higher long-run strategic value but remains contingent on regulatory timelines that have already slipped multiple times since 2022.

Overall, the report assesses the probability of building a durable, profitable commodity trading operation in Bangladesh over a five-to-ten-year horizon as moderate-to-favourable, provided the company sequences its entry correctly: building compliance and trade-finance capability first, then layering in exchange-based derivatives participation as that market matures. Key risks include foreign exchange volatility, import-financing bottlenecks, concentration of a few conglomerates in essential commodity imports, and the historical tendency of Bangladesh's commodity-exchange project to face delay.

2. Purpose and Scope

This report has been prepared to inform the long-term commodity trading strategy of May International Trade Services Ltd. It covers the structure of commodity trading and commodity-linked import trade in Bangladesh, the applicable regulatory framework, the macroeconomic backdrop relevant to trading margins and financing, a strategic roadmap phased over the short, medium, and long term, a risk assessment, and a final judgement on the prospects of success.

The report draws on the most recent publicly available regulatory notices, central bank data, and reporting from established Bangladeshi financial and business press as of June and July 2026. Because Bangladesh's commodity-exchange framework is still being finalised, some elements of the regulatory landscape described here are subject to change, and the report notes explicitly where this is the case.

3. The Bangladesh Commodity Market Landscape

3.1 No Operating Commodity Exchange Yet — But One Is Close

Bangladesh does not currently have a functioning commodity exchange. The Chittagong Stock Exchange (CSE) has been developing the country's first commodity derivatives platform since 2022, when it signed a consultancy agreement with the Multi Commodity Exchange of India (MCX) to help design the market's rules and technology. The BSEC (Commodity Exchange) Rules, 2023 were subsequently gazetted, establishing licensing, registration, and conduct requirements for commodity exchanges, commodity derivatives brokers, and clearing houses.

Momentum has picked up through 2026. At a Capital Market Journalists' Forum workshop in May 2026, BSEC Commissioner Farzana Lalarukh confirmed that CSE's commodity derivatives regulations were approved in 2025 and that regulatory groundwork is nearly complete, while CSE leadership disclosed that roughly Tk 100 crore has already been invested in building the segment. In mid-June 2026, CSE's Managing Director stated publicly that the exchange's technology is fully ready and that the platform could go live within three to four months of receiving remaining broker and product approvals, adding that the national budget for the year had explicitly referenced establishment of a commodity exchange, removing a policy obstacle that had previously slowed progress.

The initial design is a cash-settled derivatives (futures) market rather than a physical-delivery spot exchange. Officials have indicated that gold, silver, and crude palm oil are the most likely first-listed contracts, chosen because their prices are internationally transparent and well understood by market participants, with agricultural commodities such as rice and wheat intended to follow once the platform is established. Trading will require a new category of licensed commodity derivatives brokers, separate from existing equity brokers, and will operate under BSEC's oversight alongside the exchange's own rulebook.

Caveat: CSE's commodity exchange launch has been repeatedly delayed since the original 2022 timeline, including a stated ambition to launch in 2025 that did not materialise. Timeline commitments referenced above should be treated as directional rather than assured.

3.2 Physical Commodity Trade: The Existing Market

In the absence of an exchange, Bangladesh's real commodity trading activity takes place through physical import channels, dominated by a small number of large conglomerates operating under Bangladesh Bank's letter-of-credit (LC) and foreign-exchange framework. The country imports more than 95 percent of its annual sugar consumption (approximately 20 lakh tonnes), a majority of its edible oil requirement (estimates for palm and soybean oil dependency range from roughly 70 to 85 percent of demand once oilseed crush volumes are counted), and nearly 80 percent of its wheat requirement, alongside substantial volumes of lentils and other pulses.

Recent trade data illustrates both the scale and the concentration of this market. Wheat imports in the first half of FY26 (July to mid-December 2025) already reached close to half of the full-year FY25 total, driven by improved dollar availability and stable industrial demand. In the edible oil segment, National Board of Revenue data for the first quarter of 2026 show the market has consolidated sharply: TK Group, Meghna Group of Industries, and Abul Khair Group now account for the large majority of soybean and palm oil imports, after former leaders such as City Group scaled back operations and other large houses effectively exited the segment. This concentration is a structural feature that any new entrant must factor into its strategy.

Gold and bullion form a distinct and separately regulated commodity segment. Under the Gold Policy of 2018, Bangladesh Bank issues time-limited dealership licences to banks and qualifying private entities, permitting authorised import of gold and silver from approved international sources, subject to minimum net-worth requirements, bullion-vault and safekeeping standards, and reporting obligations. In practice, uptake of commercial licensed import has been limited: press reporting through 2025 indicates that several licensed dealers scaled back or halted imports due to dollar-supply constraints, procedural delays, and VAT costs, leaving a large share of domestic gold demand still met through informal or baggage-rule channels.

3.3 Domestically Produced Commodities and Export-Linked Trade

Bangladesh also has export-facing commodity strengths, most notably jute and jute goods, tea, and increasingly diversified agricultural produce, alongside a large volume of readymade garment raw-

material trade (cotton, yarn, and fabric) that functions as commodity trade in economic substance even though it is not exchange-listed. Domestic oilseed production, led by mustard, has grown but still meets only 15 to 20 percent of national edible-oil demand, underscoring the structural import dependency described above. These domestic-commodity segments represent longer-horizon diversification opportunities once an exchange-based hedging market exists, since they would allow producers and traders to lock in forward prices rather than transact only on cash markets.

4. Regulatory Framework

4.1 Securities and Commodity Exchange Regulation

- BSEC (Commodity Exchange) Rules, 2023 — the foundational rulebook, covering registration of commodity exchanges, commodity derivatives brokers, clearing houses, and clearing and settlement companies; conduct and disclosure obligations; inspection and supervision powers; and enforcement through adjudication and appeal mechanisms.
- Minimum capital thresholds under the draft and subsequent rules have required a prospective commodity exchange to maintain substantial paid-up capital, with brokers required to maintain separate minimum paid-up capital and additional capital per branch — figures that signal a market intended for well-capitalised institutional participants rather than small proprietary traders.
- BSEC retains product-approval authority: any new contract or commodity introduced on the exchange, particularly agricultural staples, will require specific regulatory sign-off, which officials have described as a deliberate check on market risk for sensitive commodities.

4.2 Foreign Exchange and Bullion Regulation

- The Foreign Exchange Regulation Act, 1947 remains the primary statute governing cross-border movement of currency and bullion, requiring Bangladesh Bank permission for import or export of gold, silver, and related instruments, and vesting broad regulatory authority in the central bank and government.
- The Gold Policy, 2018 and subsequent Bangladesh Bank guidelines establish the dealership-licensing regime for commercial gold and silver import, covering eligibility (minimum net worth, absence of loan default history), physical security requirements (bullion vaults), and permitted onward sale to jewellers and refiners.
- The Customs Act, 1969 gives government the power to regulate gold, silver, and precious-stone business near border and coastal areas, and works alongside National Board of Revenue (NBR) import policy orders that periodically adjust baggage allowances and duty rates for gold brought in by individual travellers.

4.3 Trade and Import Policy

- Import transactions must generally be conducted through banking channels via letters of credit, with LC Authorisation Forms and, for certain goods, prior Ministry of Commerce approval; sensitive categories such as food and edible oil are subject to radioactivity and quality testing requirements citing exporting-country certification.
- The Trading Corporation of Bangladesh (TCB), a state-owned entity, is empowered to import essential goods directly and to run subsidised open-market-sale programmes, which functions as a standing government backstop that can affect price levels and private-sector import incentives for the same commodities a private trading company would handle.

- Bangladesh Bank has, at various points in 2024 and 2025, temporarily relaxed LC margin requirements and single-borrower exposure limits for essential-commodity importers (edible oil, sugar, wheat, chickpeas) around high-demand periods such as Ramadan, illustrating that import-financing conditions for commodity trade are actively and frequently adjusted by policy rather than left purely to market forces.

4.4 Regulatory Outlook

Taken together, the regulatory direction is toward greater formalisation: a dedicated commodity-derivatives rulebook, a licensed-broker regime, and continued tightening of gold-import controls to channel trade through legal, traceable routes. For a new entrant, this means the compliance bar is rising, but it also means that entities which build the right licences and relationships early — an authorised gold dealership, or an early commodity-broker registration once available — stand to benefit from first-mover advantages in a market that regulators are visibly trying to keep concentrated among credible, well-capitalised players.

5. Macroeconomic Context

Commodity trading margins in Bangladesh are unusually sensitive to macroeconomic conditions, particularly the taka's exchange rate and the availability of US dollars for LC settlement. Bangladesh's gross foreign exchange reserves stood at approximately USD 34.5 billion in May 2026, down slightly from about USD 35.1 billion in April 2026, following a multi-year decline from a peak above USD 48 billion in August 2021 driven by the post-pandemic import surge and the Russia-Ukraine war's commodity-price shock. Bangladesh Bank has since shifted from selling dollars to support the taka toward buying dollars from the interbank market to rebuild reserves, purchasing roughly USD 4.3 billion in the current fiscal year through transparent auctions, while emphasising continued exchange-rate flexibility.

The dollar-supply squeeze that characterised 2022 to 2024 has eased somewhat through late 2025 and into 2026: press reporting notes that banks are opening LCs for sugar and edible-oil imports more smoothly than in prior years, and that food-related import volumes have risen accordingly. However, the underlying vulnerability has not disappeared — over 2025 and into 2026, industry sources described advance purchase costs for soybean oil exceeding USD 1,200 per tonne with added freight premiums, and a narrowing of the active importer base to a handful of conglomerates, which increases counterparty concentration risk for any partner or competitor entering the space. Food inflation has been volatile, having reached double digits in late 2024 before authorities intervened with temporary LC-margin relief and exposure-limit exemptions for large commodity importers.

For a trading strategy, the practical implication is that currency and financing risk — not just commodity price risk — is a first-order driver of profitability in the Bangladesh market, and that government intervention in financing conditions (LC margins, exposure limits, subsidised distribution through TCB) can materially change the competitive and margin landscape with limited notice.

6. Long-Term Commodity Trading Strategy

The recommended strategy is phased, allowing May International Trade Services Ltd. to build revenue and credibility in the existing physical-trade market while positioning to capture the structurally larger opportunity that a functioning derivatives exchange would create.

Phase 1 (Months 0–12): Establish Physical Trade and Compliance Footing

1. Select an initial commodity lane with clear import-policy precedent and manageable capital intensity — edible oil (refined palm or soybean) and sugar are the most liquid essential-commodity import lanes with established LC practice, though margins are compressed by conglomerate concentration.
2. Build banking relationships with authorised-dealer banks experienced in essential-commodity LCs, and structure import contracts to take advantage of periods when Bangladesh Bank has relaxed LC margin or single-borrower exposure requirements.
3. Evaluate applying for a Bangladesh Bank gold or bullion dealership licence in parallel, given continuing government interest in formalising the sector and periodic openings of the licensing window; even a modest allocation to licensed bullion trade diversifies revenue away from agri-commodity conglomerate competition.
4. Invest early in trade-finance and regulatory-compliance capability (LC documentation, radioactivity/quality certification handling for food imports, NBR and customs procedures), since this compliance infrastructure will also be a prerequisite for later commodity-broker registration.

Phase 2 (Years 1–3): Prepare for Derivatives Market Entry

5. Monitor BSEC and CSE announcements closely for the commodity exchange's operational launch, broker-licensing window, and initial product list (expected to begin with gold, silver, and crude palm oil futures).
6. Apply for registration as a commodity derivatives broker or introducing participant once licensing opens, leveraging the company's Phase 1 track record in physical trade and compliance as evidence of institutional credibility, given the meaningful minimum-capital thresholds involved.
7. Begin using the derivatives market, once live, to hedge the company's own physical import exposures (for example, hedging edible oil or gold price risk), building internal expertise before offering hedging services to third parties such as producers or other importers.
8. Track the planned second-phase product expansion into agricultural futures (rice, wheat) and evaluate participation as both a hedger and a liquidity provider, subject to BSEC product approval for each commodity.

Phase 3 (Years 3–10): Diversify and Scale

9. Expand into structured hedging and forward-pricing services for domestic producers (e.g., mustard/oilseed farmers, jute growers), positioning the company as an intermediary that helps producers lock in prices ahead of harvest — a role regulators and CSE officials have explicitly identified as a policy goal for the exchange.
10. Pursue vertical integration opportunities where justified, such as edible-oil refining capacity or bullion-vault services, to capture margin beyond pure trading and to reduce dependence on a shrinking pool of import licences.
11. Reassess portfolio concentration annually against reserve, exchange-rate, and inflation indicators, given the demonstrated tendency of Bangladeshi authorities to adjust import-financing rules in response to macroeconomic conditions.
12. Consider export-linked commodity trade (jute, tea, agricultural produce) as a natural diversification once the derivatives market extends hedging instruments to these categories, reducing reliance on import-side commodities alone.

7. Risk Assessment

Risk Factor	Description	Mitigation
Currency and reserve volatility	Taka depreciation and reserve drawdowns raise landed cost of imports and can trigger sudden central-bank intervention in LC terms.	Hedge FX exposure where instruments exist; maintain flexible sourcing; monitor Bangladesh Bank reserve and policy releases monthly.
Regulatory/timeline risk	The commodity exchange launch has slipped multiple times since 2022; broker licensing rules and product approvals are not yet finalised.	Do not build a business case dependent on a fixed exchange launch date; treat Phase 2 as opportunistic, not core-case revenue.
Market concentration	A small number of conglomerates dominate essential-commodity imports, limiting new-entrant volume and pricing power.	Target niche or underserved commodity lanes initially; consider partnership or supply agreements with established importers.
Policy intervention risk	Government price-fixing, TCB open-market sales, and ad hoc LC-margin relief can compress private-sector margins with little notice.	Build flexible contracts; diversify commodity mix so no single policy change affects the whole portfolio.
Financing access	LC margin requirements, single-borrower exposure limits, and dollar shortages can restrict smaller or newer traders more than incumbents.	Establish strong, multi-bank relationships early; consider trade-finance partnerships or guarantees.
Global commodity price shocks	Bangladesh's heavy import dependency transmits global price and freight shocks directly into domestic costs.	Use forward contracts and, once available, exchange-traded futures to lock in input costs.

8. SWOT Summary — Prospect of Success

Strengths	Weaknesses
Large, import-dependent commodity economy provides real, immediate physical-trade volume; regulatory direction favours formalised, licensed participants; early movers in gold dealership or future broker registration may gain durable advantage.	No exchange yet operating, so derivatives-based strategy has an uncertain start date; essential-commodity import market is already concentrated among a few large conglomerates with scale advantages.

Opportunities	Threats
CSE/BSEC commodity derivatives platform targeted for launch within 2026, starting with gold, silver, and crude palm oil; future extension to agricultural futures opens hedging and market-making roles; producer-side forward-pricing services are an	Repeated historical delay in exchange launch; currency and reserve volatility; possible tightening of gold baggage/duty rules increasing informal-market competition; global grain and oilseed price shocks feeding directly into domestic costs.

Opportunities	Threats
explicit policy goal.	

On balance, the prospect of building a viable, long-term commodity trading operation in Bangladesh is assessed as moderate-to-favourable. The physical-trade opportunity is real and immediately actionable, though margin-constrained by incumbent concentration; the derivatives opportunity offers materially higher long-run strategic value but should be treated as an option to exercise as the regulatory picture clarifies, rather than a near-term revenue driver. Companies that combine early compliance capability, disciplined currency-risk management, and patience for the exchange's phased rollout are best positioned to succeed.

9. Recommendations

13. Begin Phase 1 physical-trade activity within the current fiscal year to build track record, banking relationships, and cash flow, rather than waiting for the derivatives exchange to launch.
14. Assign a dedicated compliance and trade-finance function from the outset, given the density of BSEC, Bangladesh Bank, NBR, and customs requirements across both physical and (future) derivatives trade.
15. Establish a standing watch on BSEC and CSE public disclosures so that the company can apply promptly once commodity-broker licensing opens.
16. Maintain a diversified commodity mix (avoiding single-commodity concentration) to reduce exposure to conglomerate competition in any one segment and to ad hoc policy interventions.
17. Revisit this strategy annually, with particular attention to Bangladesh Bank reserve data, taka exchange-rate trends, and BSEC/CSE regulatory announcements, all of which can shift the calculus materially within a single fiscal year.

10. Conclusion

Bangladesh's commodity trading landscape is transitioning from a purely physical, import-driven market toward one that will, in the foreseeable future, include a formally regulated derivatives exchange. For May International Trade Services Ltd., the most prudent long-term strategy is to establish and profit from physical commodity trade now, under the existing and well-understood regulatory regime, while systematically building the compliance credentials and market knowledge needed to participate in the derivatives market as it comes online. Executed with discipline around currency risk, financing relationships, and regulatory compliance, this phased approach offers a reasonable prospect of sustained, profitable participation in Bangladesh's commodity sector over the next decade.

11. Sources

This report draws on regulatory texts and notifications from the Bangladesh Securities and Exchange Commission and Bangladesh Bank, the Foreign Exchange Regulation Act 1947, the Customs Act 1969, and reporting published between 2022 and 2026 by The Daily Star, The Business Standard, The Financial Express, Prothom Alo, Dhaka Tribune, Bonik Barta, and the LankaBangla financial portal, together with reserve and exchange-rate data from Bangladesh Bank and Trading Economics.

All figures and statements are current as of early July 2026 and should be reverified against primary regulatory sources before being relied upon for transactional decisions.

This report is provided for internal strategic planning purposes only. It does not constitute legal, tax, investment, or financial advice. May International Trade Services Ltd. should consult qualified legal counsel and a licensed financial advisor in Bangladesh before entering into any commodity trading, import, or brokerage arrangement.